Three Horizons of Growth

Defend, build, create simultaneously

PROFESSIONAL DEFINITION

The Three Horizons of Growth frames the simultaneous management of defending the core (H1), building emerging businesses (H2) and creating future options (H3), so disruption does not catch the firm investing only in today.

WHO DEVELOPED IT

Introduced by Baghai, Coley and White of McKinsey in The Alchemy of Growth (1999).

WHY IT WAS DEVELOPED

It was developed to balance exploitation of the present with exploration of the future, the failure of which leaves incumbents exposed to disruptors.

FIGURE 1 · THREE HORIZONS OF GROWTH

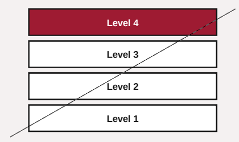

Figure 1. A schematic of the Three Horizons of Growth as applied in BARBM312 (illustrative).

HOW IT IS USED

Initiatives are sorted into horizons and funded in parallel, ensuring future growth is protected even while the core is optimised.

WHEN IT IS USED

During growth and innovation portfolio planning under disruption.

BY WHOM IT IS USED

Executives and innovation governance teams.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It institutionalises parallel investment across time horizons, countering the short-termism that disruption exploits.

RELATED FRAMEWORKS IN THIS COURSE

- **Disruption S-Curves** · Slibrary 18
- **Innovator's Dilemma** · Slibrary 18
- **Adjacent Possible Map** · Slibrary 18
- **Disruption Vulnerability Audit** · Slibrary 18

SOURCES (HARVARD REFERENCING STYLE)

Baghai, M., Coley, S. and White, D. (1999) The Alchemy of Growth. Reading: Perseus.

McKinsey & Company (2009) 'Enduring Ideas: The three horizons of growth'.